

7.08 Game Theory			
7.08a	Pay-off matrix	a) Understand the idea of a zero-sum game and its representation by means of a pay-off matrix. <i>Includes converting a game to a zero-sum form, where appropriate.</i>	
7.08b		b) Be able to reduce a matrix using a dominance argument.	
7.08c 7.08d	Pure strategies	c) Be able to identify play-safe strategies and stable solutions and understand what they represent.	d) Be able to identify a Nash Equilibrium solution and understand what it represents.
7.08e 7.08f	Mixed strategies	e) Be able determine an optimal mixed strategy for a game with no stable solution by reducing to two variables and using simultaneous equations or a graphical method, where possible. <i>Includes knowing that the optimum may occur at an extreme value ($p = 0$ or $p = 1$).</i>	f) Be able to determine an optimal mixed strategy for a game with no stable solution by reformulating the problem as a linear programming problem that could be solved using the simplex algorithm.